Microsoft Just Changed the AI Math

Podcast: Know your risk

AI Executive Summary

1. Core Thesis The current financial market is experiencing a period of extreme instability and "broken" price discovery, where mechanical trading, excessive leverage, and geopolitical tensions are overshadowing fundamental economic indicators. The hosts argue that the market has transitioned from a fundamental-driven system to a "casino-like" environment characterized by high volatility (negative gamma) and questionable accounting practices (such as extended depreciation schedules), all while facing a significant, asymmetric risk of an energy shock driven by escalating conflict in the Middle East.

2. Key Arguments & Data * **Market Volatility & Broken Price Discovery:** * The S&P 500 is rising, but equal-weighted indices are declining, indicating a lack of broad-based strength. * Individual tech stocks are experiencing massive, news-less swings (e.g., Microsoft up significantly, Meta down significantly), suggesting that "mechanics" and leverage rather than fundamentals are driving prices. * The market is operating in or near a "negative gamma" environment, which exacerbates volatility and creates large price swings without underlying news. * **Accounting & Corporate Integrity Concerns:** * There is significant skepticism regarding "financial shenanigans," specifically pointing to Microsoft's decision to extend the depreciation schedule of its data centers from 15 years to 25 years—a move the hosts argue artificially inflates earnings in a rapidly evolving technological landscape. * The hosts argue that in technology, nothing is worth more than 10 years due to the pace of innovation (e.g., quantum computing or new chip architectures), making a 25-year depreciation model fundamentally unrealistic. * **Geopolitical & Energy Risks:** * There is an acute threat to global energy security via the potential closure of key maritime chokepoints, including the Strait of Hormuz, the Suez Canal, and the Red Sea, by Iran or its proxies. * A major disruption could impact one-third of the world's energy infrastructure, potentially leading to a massive "energy shock." * **Economic Asymmetry:** The hosts highlight that the US/globalized economy is highly leveraged to oil prices and stable trade routes, whereas Iran's economy is relatively insulated due to years of existing sanctions and a different economic

structure. * **Failure of Strategic "Stop Losses":** * Using geopolitical conflict as an analogy for trading, the hosts argue that the US lacks a clear "exit strategy" or "stop loss" in Middle East engagements, leading to "piecemeal" decisions that increase long-term costs and risks (similar to historical failures in Vietnam or Afghanistan).

3. Actionable Takeaways * Prepare for High Volatility: Investors should expect and prepare for "extreme" volatility levels, as the market is currently behaving more like a levered ETF than a traditional index. Risk management tools, such as stop-loss orders, are essential. * **Exercise Skepticism Toward Earnings:** When analyzing mega-cap tech earnings, look beyond top-line numbers to examine depreciation schedules and capital expenditure (CapEx) accounting, as these may be masking underlying fundamental weakness. * **Monitor Energy Chokepoints:** Keep a close watch on news regarding the Strait of Hormuz and the Red Sea; any disruption in these areas should be viewed as a primary indicator of an impending global economic/inflationary shock. * **Avoid Over-Leverage:** Given the "fragile" state of the market and the prevalence of negative gamma, avoid high levels of leverage that could lead to catastrophic liquidations during sudden price reversals.

Full Transcript

That is the most ridiculous proposition anybody has ever sold me in technology. Nothing is worth a damn in technology for more than 10 years, let alone 25. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always please remember investing involves risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the daily dots and I am joined as always by the brain trust himself. Mr. Chase Taylor Another day another dollar, I guess Yeah, I'm about as close to speechless as I can be on this market what? We're 30 minutes for the close I had to leave a little early today, so we had to jump on it a little earlier than normal But why don't we start with a rundown and go from there? It's sort of the opposite of what we've had lately. S&P up 1-7, but equal weight down. Q's up over 3. Small caps up a little over 1. Mag 7 up 2.3. All-world XUS up about 3%. The dollar is down 0.87. A lot of this is on the back of what looks like Japanese intervention. They got the yen up a good bit today.

In mag 7ville you have good bit of all you have obviously Microsoft up massively up about 17% Tests is up 3.8 You have meta down about 9 you have Amazon down or up almost 6. Yeah, I could so kind of all over the place Yields actually really quiet unlike yesterday. So two years down about two three basis points The 10 is down about two 30 years flat 30 year holding 5.21 So you think with all this joy of today, maybe you could get a little bit of a retrace on the long end, but not really. Oil up down 1%, interestingly to me, the December contract down more. So all of a sudden,

the out month out year stuff is tracking more aggressively two days in a row, well, not more aggressively two days in a row, but way more aggressively than usual two days in a row, which is, I don't know, it's interesting to me. Gold, naturally with a dollar, getting Lick the way it is gold up 3.3 silver up about 2.3 which I honestly find concerning that silver is not doing more than that but GDX up about four Platinum Platinum Copper all that stuff doing well Front month VIX down about 7% so you're back under 19 Here's where it gets real fun the DRAM ETF up almost 16% and SMH up almost 7% so after we had a our Paul Leopold get liquidated by Kenny G. And by that, I mean, the hedge fund blew up because they were too levered on the AI trade. After that, I think there is some kind of bounce back because his book, you know, he's done having to sell that stuff and buy back his software at least for the day. I think some people may be taking a little too much.

Optimism out of that that it's over. But I think I doubt he is the only person that was levered long chips There were there were memory. There were countries that were left. Yeah The question to me really still is like where are they are they done and then the other thing is like You know are those people getting back in now and ready to get rugged again if we keep going back down But who knows we'll see By my calculations we might be out of negative gamma, but it's close. We could still be in it, but we're probably kind of neutral so Not at all surprising to have a big ripper on in a negative gamma environment But for me I would feel a lot better about that if rates were down and if the dollar was down for reasons that were constructive and If you know oil was down for reasons that were constructive and I don't really see any of those backdrops so I don't take a lot from today personally like I told you man and it's getting it's growing more I think concern would be the best way to say it. I probably sound like a broken record. I don't see on the precipice of some giant morass. What I do see is a market that is getting increasingly out of control. The whole indexes are swinging like levered ETFs. This isn't good. And we've said it before, but I mean, this is getting insane. You're watching companies move on no news, multiples of their annual revenue. This isn't a market, man. This is a casino. I will add, like I always say, negative game of the hell of the drug. Yeah, but what I'm saying is that should be an indicator and at least a warning for every investor that this market has gotten to the point, much like a casino where

the mechanistic aspects of it and the back and forth positionings and moves far outweigh.

Price discovery fundamentals all that kind of stuff, you know and like you and I have said You know, you can sit there and ring your hands about it and gripe by how unhealthy it is and all that kind of stuff The flip side is is it presents tremendous opportunities, right? That being said and like I was just telling our clients on that town hall meeting last week that It presents tremendous opportunities, but you're gonna have to put up with a ridiculous and stupid amount of volatility because, you know, you're at that point, man. And we thought it was out of control before, but truly, I look at this market and I go, leverage and rumors and narratives mean more than actual fundamentals and details do. They just do. You're just in that point. Does that mean that you have to crash? No. Does that mean that I think you're increasingly getting to a more fragile state where bad things can happen?

Yeah, I just leverages leverages a hell of a drug and excess leverage when you apply volatility That's when crises happen. That's when long-term capitals blow up. That's when you know This this is why I always say like I can't buy things on a stick because this is what happens to things on a stick Yep. Yep. Like if something goes parabolic it will end poorly and it just Nothing nothing goes to the sky right? Nope. Nope just frauds Right. And even those in poorly, so. Typically. Yeah. And it just, I'm laughing about yesterday we were talking on the dots and I was like, look, I'm not advising anybody do this, but this stuff's close to a 50% drawdown. If I was more of a belligerent and degenerate trader, it's probably a good time to take a shot on the long side. Boom. Here we are the next day. Yeah. Yeah. I mean, if you...

If you're in Sandus today, I saw somebody posted, your returns today are better than if you held Ethereum for four years. How much did Sandus got today? Oh, probably like 20 something. Yeah. On no news. That stuff, no, there's no news that suggests that stuff should be up. The price, yeah, the price movement. It's been going up and down 10, 15% a day every day for weeks now. And it doesn't need news to do that. It just, it's really, it's really mechanics. if you think about it, it's the market structure stuff. I know. And that's what I'm saying. I think you're looking at a severely broken market,

meaning the job it's supposed to do, it does not do it all. There is no price discovery. But I would argue that's been the case. I think, I think honestly, I think a lot of ways it's the oldest time. Yeah. If I'm reading the 1873 book, I can just read about these epic Austrian stock bubbles and stuff. There's all the same, it's all the same stuff. And that's 150 years ago. Yeah.

Yeah, no. I mean, it's existed, but I don't think that there's ever been a period of time where you saw companies swinging in 15 to 20% moves that were at the top of the largest index. Yeah, the size and movement stuff is pretty intense. Now, granted, I guess we're under this industrial revolution of AI that is going to change everything. And you can make an insane bull case and an insane bear case at the same time that both are coherent. So like, And that backdrop, especially with negative gamma, but in that way, it kind of makes more sense. But the funny thing is, I've pitched Microsoft for weeks, but then I see this and then I'll go look at all the guts of what they're saying and I'm just like, ah, it's not really that interested. There's so much betting on the conch. By the way, this is something very much worth mentioning. Their depreciation schedule for their data centers are pushing from 15 to 25 years. They added 10 years. How is that? That's ridiculous. A useful life of... That's ridiculous. I know. In an environment... So that's going to goose earnings. It's going to make it look better than it is. That is the most ridiculous proposition anybody has ever sold me in technology. Nothing is worth a damn in technology for more than 10 years, let alone 25.

25, you could have quantum... I mean, what are we talking about? 25 years, those data centers as is today are worth absolutely nothing. And I know that's what the depreciation schedule is building in. But 12 years from now, the data centers as currently built are worth nothing. They're worth nothing. Who the hell is going to want an NVIDIA 1000 chip? 12-year nobody. To me, a 25-year depreciation is... It's just financial shenanigans. And that's the other thing that worries me. Everywhere I look, I see financial shenanigans. I see circular financing. I see 25-year depreciation schedules on a data center. You probably won't even need a data center in 25 years. Right. I hope we don't. Well, you won't. They're so expensive. They're kind of stupid. God, I mean, think about the size of compute we needed 25 years ago to replicate our strongest desktop computer today.

We we wait and it's still 15 years shy of the 40-year bonds people are selling and that's what I'm saying man. I and that's what Yeah, well they they used to sell the way the 30 years going. I don't know if you were gonna want to sell 40-year bonds anymore Yeah, I don't know what to make of this market and and and this isn't us crying in our soup either. We're not getting hit today. No Korea defense ETFs up 12% today. Yeah. For no other reason than other Korean stocks are up. Why not? Let's do it. Let's party, Bennett. Almost trimmed it. I know. A day after I added to it. I know. And the cross factors mean more than, I mean, it's just the price movements on this stuff are just unbelievable. Like I said, I just looked through the market and I go, what is the one thing that doesn't matter? Fundamentals, balance sheets. No one cares.

I will say, if we do get back into positive gambling, everything will calm back down. Sure, sure. But this is like, this feels like a drunken bachelor party. You know what I mean? A frat party. I mean, we just had a big hedge fund blow up with S&P and a 4% drawdown in the VIX at 20. That's kind of scary, like honestly. So, you almost had an entire country blow up and it still could. I mean, it's pretty serious there. A lot of people have lost everything. They're like talking about ban and short selling. They are like banning levered ETFs and trying to constrict those now, you know, now that the horse is way out of the barn. Yeah. Yeah. I am or yesterday, you know, rates really matter today. Nah. Yeah.

The signal to noise ratio in these negative gamma environments on both sides is lower. So like if you see a nasty day negative gamma, take it with a grain of salt. And if you see a monster rip in negative gamma, take it with a grain of salt because like it just you get so much forced movement inside of those days that you lose some signal. Oh, I think you lose it all. I don't think there's any signal today. It's interesting to me like in the S and P is I kind of rallied back to kind of the scene of the breakdown right back to like the 50 day and stuff. So as good as today's move is, you know, like you look at the chart and it's like, hey, you haven't really accomplished anything yet. And the cues is worse. Like you're up 3.3% on the cues and you look at the chart and you're like, I, it's, you haven't even really got back to where you started breaking down. Like, well, the other thing you and I both know too is that doesn't mean these things can't run. Doesn't mean these things. Oh no, that

could be it. That could be the V shape ball. Yeah. No, no, that could be, but what I would say that.

If I was a betting man right now, I would bet that that's Look, I'm not saying they're they're gonna crash and make new lows, but I've a betting man here Usually 18% updates on stocks don't mark a bottom, especially if there's no news Right like so I'm looking at micron looking at things like that typically You see a move on a stock like that with no news and that that suggests to me a lot of shorts taking profits a lot of levered players jumping on their book to Citadel. Yeah, exactly. It just, it's hard. Look, if you're constructive about today's action, God bless you. I don't know how you can be, right? What do you mean it's up? It's like, guys, it's not what you want from a market, man. What you want from a market is you want price discovery, you want uniform, you know what I mean? And I'm not saying you get it all the time, you don't, but just...

Dude, I'm just I'm still trying to wrap my head around watching entire indexes trade like levered ETFs. It's just it's mind-blowing What would we? Of all the things we're gonna talk about today For those wanting to know there is no news positive about the straights or if you're wondering why oil is down there. There's no news there As a matter of fact the last thing I saw and I've been in meetings this morning, but last thing I saw was Trump's was saying again yesterday. We're going after Iran big Yeah, like I will say this last night they didn't they did like two hours of bombing what didn't seem like a big deal at all Well, they don't even have anything off the bomb. They made they kind of don't but they made it sound like oh here he comes here comes the fury and then did not much happened Iran hit back looks like from satellite imagery. They hit stuff at like three or four different bases Importantly to me like going back to is from yesterday, but Iran hitting something, you know like right next to Egypt, you know like that that It shows like this is important. So it shows me and I'm not that I've I should say it shows the market because I've been saying this for months, but it should show people including the people making decisions, you know the Pentagon like They obviously they can close the straight. They've made that clear Without even the help of the Houthis they could they could close Babaman Dab straight They can close the Suez Canal if they want to they can hit energy infrastructure everywhere that they can reach, which is a

third of the energy infrastructure in the world. So that escalation capacity they have when it comes to what it does to the global economy is so it's cosmic. And I keep hearing people say, oh yeah, but we could do this. And it's cool. They could take out.

a third of the world's energy. Get your head around the fact that we're almost six months into this. There is no thing that we can do. If there was a button to press to do this, it would have been pressed five months ago. Good Lord people, wake up. Here's how you'll know this is over. When you hear the administration or we get news, that they capitulate on Iran keeping control of the straight, that's when this ends. And it ain't ending before that. Even on that, I saw a good post today that basically said, like the problem with that now is Iran doesn't even trust our capitulation anymore. Right? Why would you? Right. Because the first time we capitulated, we didn't follow through on any of it. On any of it? Like none of the money came. Like anything that was going to have to get through Congress didn't look like it would. Like so.

You know that hard line faction for them is being like I told you so like there's no point in even doing that Now I still feel like if they look at it. They're like, okay, but what else are we gonna do? Like we have to we have to crystallize this stuff into some sort of deal But that this feels really hard for both sides to pull off at this point. So like I don't even know how we other than just leave I don't even know how we really capitulated anymore. I know this gets me to that point like from the very beginning when I was saying this reminds me of the scene in Goodwill hunting where Ben Affleck comes in pretending like he's Matt Damon's character, right and He's talking to him. They're like, what is it gonna take retainer? I feel like Iran just keeps pointing back to the signs just saying Go ahead. You want to keep bombing things have been bombed and want to make a crater twice as big go ahead and do it, right? Like we've got controls straight. We're not giving it up and I And now it's two straights and they're showing that they can make it all of the Red Sea if they want. So they can neutralize the entire Red Sea in Persian Gulf if they really wanted to go that far. And this isn't news. We've been talking about this since the beginning of this thing, where we were saying, hey, the problem with this whole situation is you guys are all

looking at the Strait of Hormuz like it's the ultimate chalice that we're competing over here, but it's not. You got the Red Sea.

You got the Suez, you know, you got all the, and even more at the infrastructure because you can open the straight or the, or the Suez in a day, you can't reopen blowing up infrastructure in a day. No. And, and you can't open those with Iran currently in control and they just are. Yeah. And now the Saudis are like trying to put a coalition together to like protect the Red Sea is like, what are they going to do? I thought we had full control over the straight four months ago, didn't we? Yeah. Okay, that's just the nonsense is just getting it's just delirious or making me delirious And I'm just to a point look I hope I'm wrong But I don't when I keep looking at this scenario. I just this feels like the person that just refuses to take the L They're gonna get the straight or something else. They really want and and it this ain't gonna stop until they do that I just if they If it hasn't stopped I just I don't even understand the logic behind people that are still behind this I don't get it. Oh, we could do this. If we could, we would have. You think you came up with some strategy that we did really, right? Like you've got some, you're completely detached from any of this stuff. You've got no inside information, but you think you found out the way we can open this. I mean, come on. Like- It all comes down to the- the basic escalation framework of, if we do X, what do they do in response? And then you look at that and go, ooh, that wouldn't be fun. Dude, I feel like I'm talking to kids about this all the time. I'm like, look, the math is not hard. When you're trying to close a choke point like that, and I've said it a hundred times, all you have to do is prove you can hit a ship. To open it, you got to prove that you can protect them all. So, and this is the latest thing I read that, that now the Syncom commander made this pitch to the White House to be like, Well, here's the thing. If we just had two good weeks of bombing, then they wouldn't be able to launch back. And it's like, what from where? You don't even know where they're launching from. Go a little straight. And I heard a guy talking about this on a diary of a CEO interview recently. And he's kind of funny. The guy like dedicated the majority of his career to war planning out engagements with Iran. And just like you and I were saying, he showed the giant coastline that goes across the straight.

And he showed the topography of it. And he goes, tell me where you attack. He goes, because they've been stationing things around here in isolated ways. And far inland too. It's not just the coast. Right. For 15 to 20 years. Okay. Again, if we could, there is no better bombing tactical, intelligent, all that stuff than us. If they're still hitting ships in the straight five and a half months in, you think there's something you can do to get rid of all the missiles? And if you did think that, you don't think they would have done it already? Exactly. That's the thing. And that article was basically like, oh, he felt like he was so close and we pulled him back. And my response to this is like, if we just drop a few more bombs, it'll all work out. When is that opinion ever worked?

Cause people made that case in Vietnam and those people got a lot of, they got a lot of runway to try. Didn't work, obviously. Even, even Iraq, Afghanistan, there was so many people like, yeah, but if we just hit this stuff, that'll take care of it. It's like, it's like Robert McNamara or Redux. Ah, Rolling Thunder will get them. Ah, hit, hit, hit Hanoi. Operation linebacker will take care of it. I just, okay. Yeah. Yeah. Another sortie will do it. They're just going to say uncle. I didn't like you said this isn't this isn't about us never get this is a tales all this time it's it The bombing campaign has never had a sick you you've never won a war via a bombing campaign ever ever And now everybody well we can But you're not I don't know if anybody's keeping attention with that two to three week time period it ended a long time ago. I I don't I This is a confusing world man. I don't understand I look at the market. I look at geopolitics. I look at, I just, I don't understand, you know. And now that, you know, the war has moved from, or moves just the Persian Gulf. Now it's the Gulf and the Red Sea. And it's kind of morphing also into the Caspian. So like it's broadening out. Obviously a rack is getting more involved than it was before. I mean, you could have Azerbaijan getting, getting in some ways drawn in the Gulf States getting are getting more drawn in, Saudis participating, Emiratis participating like. But oil sub 100 man. Yeah, well, diesel's not. Yeah. And to that point, like if you, I think the worst outcome you could have is oil cheap, which it has been. And I think that's the worst thing that could happen. It's, it's just numbing. Well, numbing decision makers. Yep.

to something they should not be numb to. And it's also backloading pain too. Because when you go back to leverage, we are the ones leveraged to that. We are leveraged to a globalized economy. We're leveraged to oil prices. All these things in a way like a place like Iran, they were born in the dark. They've been living under sanctions and having to do everything for themselves for 25 years. If the global economy gets smacked around, it's not... whatever. It's not a big deal for them. They're on like 80% T-bills. And we're the ones that are 4x levered on DRAM, essentially. Their stock market isn't worth 250% of their GDP. Exactly. And I think that asymmetry is something that people miss. And that's another reason why you can't be that levered to economics in general.

The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. Here's another thing. We've been talking about this since it began and it granted, like, I want us to win. But, you know, getting in Iran's shoes and looking at it from their perspective, well, I couldn't understand why they were even willing to come to the table at all with oil where it was, just meaning Whatever deal you want, you know, it's going to be better with oil higher I look at their actions now. It feels like the gloves are off and it feels like it's operation oil 130 I'm especially given it's a way to hear what the proxies are doing. Yeah, there's there's there is non Inconsequential damage done in a lot of oil infrastructure I mean if you go back to before the war and you go to now and you look at how much refining capacity is offline how much crude Exports are offline. It is staggering because if you look at Russia, Saudi, Qatar, Iraq, Kuwait, Bahrain, UAE, and you look at, if you take the totality of that and just look at crude exports down and product exports down, it's not great. It's an energy shock that has barely flowed through. Yes, like oil or gas and diesel are expensive, but like, not to the extent of the shock and I think a lot of people were like, well, that hadn't happened yet. It ain't gonna happen. And that's, that's just not how life works. Like it can still happen. Yeah. Um, yeah, I'm, I, I'm out of words, man. I, I, and, and I, um, I, and, and here's the thing is I just, I, and I'll repeat it again. I just, I don't, I just.

I don't see around. I do not see a way around us swallowing a big, nasty, horrible tasting pill. And what I fear is that the only way to do that is if things get considerably worse, you know, where you've got the market down considerably oil up over 120. Yeah, if you get to that, and especially if you get that and some sort of like market economy, you know, Not not that disaster, but like but weakness then then at that point I think it's easier for the president to be like Hey, we got bigger fish fried, right? And then people like all right, you're right And that's one of the problems I think that you're in right now is that I kind of feel like the administration has backed themselves into a corner where as long as oil hasn't gone parabolic They kind of can't pivot you know what I mean, right? So like I'm saying it's they kind of need oil higher to justify going you know what we're done with this You know what I mean? Like I feel like they would take more heat Politically for taking it right now if you're willing to let the bond market raise rates for you. You should be willing to let oil get you out of this Yeah, I just and and it's just weird how the complexions of these things change over just time meaning the conditions could be exactly the same but just time right in these situations it kind of changes the the makeup, you know meaning The longer you're in something like this, by definition, the more you've invested. By definition, the harder it is to cut your losses and walk away. The harder it is to justify to your supporters. The sun cost just keeps going by the day. That's usually the way these whole things operate.

It's so easy to look back on an Afghanistan and being like, what were we thinking? And that's why I freaking hated this whole thing. But it's usually just like a series of dumb two-week decisions. Yep. And that's why I hated it. We both did. I hated it from the beginning because I was sitting there going, I don't, whenever you go into a conflict when there is not a clear wind to find, that's where these things happen. That's where they happen. Right. Then there was an article, I think it was in NBC today and then basically explained like the president is super frustrated with it. And and frustrated because there's like essentially two factions inside Inside the White House that have completely different views of it. Nobody seems to actually have a plan or like an exit strategy And it's like well, yeah, we can see all of this, but I don't even blame them for that Well, I don't have a plan. I'm not I'm not credit. You know what I mean? I'm not But you didn't decide to do this right right, but what I'm saying is I get it I like I get it I don't

know what to do either if you ask me as a advisor I'd look you and be like look I wouldn't have gone in Don't know what you do. Yeah to me it's simple like when you when you went in you have a stop loss. It's like risk management. It's look go in Obviously the goal really was regime change as much as we want to act like that's not true anymore. You can go back regime change was definitely a goal Completely neutralizing the nuclear program neutralizing the missile and drone program. That was those were the big goals. Yep Once it became clear those none of those were happening which was a weekend two weeks is definitely That should have been the like just go away. Just get out. Just go away and be like, Hey, we degraded their stuff. We're done. Yep. Cause then, then if they're like, well, the streets closed, everyone been like, whoa, whoa, whoa. And then it just wouldn't have worked. Yeah. And you could have let political pressure from everybody else take care of it. And maybe that wouldn't have been the plan that that is to have that stop loss of like, cool, let's go big. And if it doesn't work, let's go home. But whenever you just piecemeal it day by day, by day, by day with.

A bunch of ad hoc impulsive decisions and and then everybody comes back with it Yeah, but I ran and I go stop. It doesn't matter. I agree with you. They're horrible The question is is does nothing to do with no does this action that we're about to take does it degrade them and help our interests in any way and from the very beginning my what my attitude was not unless you're willing to put hundreds of thousands of troops on the ground and And I don't think that is worth it, meaning... And I'm not even convinced that's doable to be clear. I agree. If you just think about it from a logistic standpoint, the logistics it takes to get hundreds of thousands, if not a million people on the ground there. I don't think they could even do it. Right. And if you did, it would have to be staged very slowly. It would look like Normandy, dude. It would be painfully obvious that it was coming. It would be like Normandy. Right. And then how do you keep all those people fed and clothed and housed?

Well, I mean, we're the best in the world at doing that. I mean, we absolutely are. Actually, people always think, like, oh, we have the coolest technology, like, cool, neatest jets and missiles. No, no, no. How good we are at logistics is what has always separated us, including in World War

Two. But, right. But, you know, that would be a different or a taller order than people imagine. Yeah. Well, I, you know, I'm, I'm out of superlative state. Do you have anything else? No, we're good to go. No, I, yeah, just prepare for the unexpected. I Anyway, all right, that does it for us you guys as always can follow us on social media I'm at KYR radio chases at pinecone macro Get the video feed on podcast or on YouTube. Just search know your wrist podcast Go to know yours know your wrist podcast calm board capital management talking about training camp tomorrow to say on them. Yeah, there we go. We're taking a day off Anyway, have a wonderful evening. We'll see you tomorrow.